

ICICI Bank Ltd

Investment Rating : Average

Company Overview

Website	http://www.icicibank.com/
Sector	nan
Market Cap	1,319,221.86 Cr
PE Ratio	25.76
PB Ratio	6.2
Dividend Yield	3.43 %

Financial Quality

ROE	18.8
ROCE	7.6
CFO Quality	High Quality
FCF CAGR	nan%
Capital Pattern	Balanced

Capital Allocation

Capital Score	63.0
Reinvestment	Growth Focused
Debt Trend	Increasing Debt
Leverage	Very High

Business Overview

ICICI Bank is the second-largest private sector bank in India offering a diversified portfolio of financial products and services to retail, SME and corporate customers. The Bank has an extensive network of branches, ATMs and other touch-points

Strengths

Revenue growing above 15% CAGR over 5 years reflects strong business momentum.
Operating profit margin above 25% indicates strong pricing power and cost discipline.
Net profit compounding above 20% over 5 years creates significant shareholder value.
Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding.
Return on equity improving for 3 consecutive years shows strengthening business quality.

Risks

Debt-to-equity ratio of 6.45 is elevated for a non-financial company and warrants monitoring.
Operating margins declining for 3 consecutive years suggest pricing or cost pressure.
Interest coverage ratio below 1.5x indicates the company is at risk of not meeting its debt obligations.
Rising debt over the past 3 years suggests increasing financial leverage risk.
Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital.